

- **Class B (35% Drop Trigger):** Medium risk. Engineered to mimic a 16% domestic bond yield, but paid in GBP. (10% fee + 20% Sweetener).
- **Class C (50% Drop Trigger):** High risk/patience. Maximum leverage against a total KES collapse. (15% fee + 30% Sweetener) + **Trailing Yield:** To reward maximum patience, Class C includes a trailing revenue share (e.g., a percentage of the UK rental income) for 12-24 months *after* the principal is settled.

4. Investor Treaties & Cross-Border Collateral

The SPV must sign highly specific treaties with its investors, and importantly, must secure its capital against the UK property.

- **The Master Loan & UK Debenture (The Security):** The SPV Proxy must execute the Master Loan Agreement with the UK FIC. Crucially, the SPV must instruct a UK solicitor to register a **"Fixed and Floating Charge" (a Debenture)** at UK Companies House against the FIC. This legally secures the 70M KES against the Woolston property, giving the Kenyan investors legal peace of mind.
- **The Participation Agreement:** Investors are not buying equity in the SPV; they are buying "Debt Notes" or "Participation Rights" tied to the UK Master Loan.
- **The Alternative Currency Consent Clause:** *This is the most important legal document for the investors.* Investors must sign an explicit agreement stating that upon maturity or execution of their Tranche, their KES-denominated payout will be internally converted by the SPV at a pre-agreed rate and distributed to them entirely in GBP from the SPV's offshore account.
- **Release of Liability:** This protects the SPV Proxy. It states that once the SPV distributes the GBP to the investor's chosen account, the SPV's obligation is 100% fulfilled, regardless of what the Central Bank of Kenya (CBK) is doing with domestic exchange rates.

5. The Exit Mechanism (Bypassing Sovereign Risk)

When the devaluation hits and the UK FIC refinances the Woolston property, a clean exit is mandatory.

1. **The Trigger:** KES drops to a defined threshold (e.g., Class B hits £1 = 256 KES).
2. **UK Settlement:** The UK FIC calculates the total KES owed (Principal + 3% Base + Penalties/Sweeteners), converts it to GBP at that exact day's rate, and wires the GBP **directly to the SPV's Mauritius/Dubai account.**
3. **Clean Break & Charge Removal:** The UK FIC is now entirely debt-free on that Tranche. The SPV Proxy formally lifts the UK property charge for that proportionate amount.
4. **SPV Distribution:** The SPV holds the hard GBP offshore. It then distributes these funds to the individual investors' personal offshore accounts, or holds it for them to negotiate their own repatriation into Kenya. The SPV has successfully circumvented CBK "forced surrender" laws.

6. Tax Obligations (Kenya)

The SPV is a Kenyan corporate entity and must navigate the Kenya Revenue Authority (KRA).

- **Pass-Through Structuring:** The SPV should be structured to minimize its own retained profits. The "sweeteners," early repayment fees, and interest it receives from the UK FIC are immediately recognized as liabilities/payouts owed to the underlying investors based on their Participation Agreements.
- **Foreign Sourced Income:** Kenya currently operates a largely territorial tax system, but recent finance bills have targeted offshore gains. The Proxy Director will need a local KRA-specialist

accountant to ensure that the GBP distributions made from the Mauritius account are correctly classified—ideally passing the tax burden directly onto the individual investors' personal income declarations, keeping the SPV itself tax-neutral.

- **Withholding Tax Credits:** When the UK FIC pays the SPV interest, the UK will withhold a portion (e.g., 15% under the DTA). The SPV must collect the UK HMRC tax receipts and use them as Foreign Tax Credits against any KRA liabilities to prevent double taxation.